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Investment Thesis

After a little over 3 years in the market now, the way that I have decided on what to buy and hold is by choosing companies that I believe are the highest quality, with impenetrable moats.

What I mean specifically is for example, think of a company like MA (mastercard) and how dominant their business model is and how good their profit margins are. That accompanied by their consistent yoy rev growth in the high teens sets up for one of the strongest companies in the world fundamentally.

One of the first indicators I look at for a company is its value based on the forward earnings P/E and the core operational P/E (enterprise value divided by trailing-twelve-month operating income from SEC filings) rather than trailing P/E, which equity gains distort.

Some people may disagree with me here but I truly believe that investing into companies at low multiples (TTM PE ratios of 35 or less) will always result in the best yield in terms of long term compounding as there is room for something called multiple expansion.

The risks that I often find that people make is investing into companies that are already trading at premium valuations (I used to be guilty of this when I didn't understand it).

The issue is that if a company is trading at an 80 TTM PE, any news on the company that doesn't feed into the "perfect" valuation multiples will cause rapid multiple compression, meaning the stock price will fall substantially even if the news isn't that bad fundamentally.

This type of situation is exactly what happened recently to a stock called Intel and ServiceNow.

Another part of the current market dynamics that I don't like is the fact that it is centered around semiconductors. If it wasn't for semis, the s&p would actually be down YTD this year because all the quality companies are being left behind

Currently, this is why I have my portfolio centered around the commodity use cases of AI deployment. Meaning that the companies that can directly monetize AI as a result of people using their products, ie. Google, Meta, Amazon, Microsoft.

The core of my portfolio is VFV (S&P 500), with the rest in dominant tech and payments names.